

Wolaita Sodo University
College of Business and Economics
Department of Accounting and Finance
The First Round Mock Exam for Accounting and Finance Regular Students

Date: November, 2024
Maximum Weight: 100%

Total Number of Questions: 100
Time Allowed: 3:00 Hours

Multiple Choice Questions:

Instruction: Choose the Best Answer from the given Alternatives. (1 point each)

1. The purchase of supplies on account should result in:
A. A debit to Supplies Expense and a credit to Cash.
B. A debit to Supplies Expense and a credit to Supplies.
C. A debit to Supplies and a credit to Accounts Payable.
D. A debit to Supplies and a credit to Accounts Receivable.
Answer: C
2. When a company performs a service but has not yet received payment, it
A. Debits Service Revenue and credits Accounts Receivable.
B. Debits Accounts Receivable and credits Service Revenue.
C. Debits Service Revenue and credits Accounts Payable.
D. Makes no entry until cash is received.
Answer: B
3. The primary purpose of the trial balance is to
A. Disclose the complete effect of a transaction in one place.
B. Make sure a journal entry is not posted twice.
C. Transfer journal entries to the ledger accounts.
D. Prove the equality of the debit and credit amounts after posting.
Answer: D
4. Correct step for operating cycle of merchandising business is:
A. receive cash – account receivable – buy inventory – sell inventory
B. buy inventory – sell inventory – account receivable – receive cash
C. sell inventory – receive cash – buy inventory – account receivable
D. receive cash – buy inventory – sell inventory – account receivable
Answer: B
5. The primary difference between a periodic and perpetual inventory system is that a
A. Periodic system determines the inventory on hand only at the end of the accounting period
B. Periodic system keeps a record showing the inventory on hand at all times
C. Periodic system provides an easy means to determine inventory shrinkage
D. Periodic system records the cost of the sale on the date the sale is made
Answer: A
6. In credit terms of 1/10, n/30, the "1" represents the
A. Number of days in the discount period
B. Full amount of the invoice
C. Number of days when the entire amount is due

D. Percent of the cash discount

Answer: D

7. FOB shipping point means that the:

- A. Goods are placed free on board to the purchaser's place of business.
- B. Purchaser pays the freight costs.
- C. Seller pays the freight costs.
- D. Common carrier pays the freight costs.

Answer: B

8. If the balance on bank statement does not equal the balance in the company cash account, then you can conclude that:

- A. The company accountant made an error in the accounting process
- B. The bank made an error
- C. Both the company accountant and the bank made errors
- D. There are reconciling items that, when identified, will explain the difference between the balances

Answer: D

9. A company purchased \$3,700 of merchandise on July 5 with terms 2/10, n/30. On July 7, it returned \$850 worth of merchandise. On July 12, it paid the full amount due. Assuming the company uses a perpetual inventory system, and records purchases using the gross method, the correct journal entry to record the payment on July 12 is:

- A. Debit Merchandise Inventory \$2,850; credit Cash \$2,850.
- B. Debit Cash \$2,850; credit Accounts Payable \$2,850.
- C. Debit Accounts Payable \$2,850; credit Merchandise Inventory \$57; credit Cash \$2,793.
- D. Debit Accounts Payable \$2,850; credit Cash \$2,850.

Answer: D

10. If Abebe and Balcha form a partnership but silent/ no agreement as to profit/ loss sharing, the law recognizes the sharing of gain/ loss.

- A. Equally
- B. According to income sharing ratio
- C. As unknown
- D. According to their agreement

Answer: A

11. Which one of the following is/are not a characteristic of partnership?

- A. Limited life
- B. Limited liability
- C. Unlimited liability
- D. Single taxation

Answer: B

12. The inventory system that matches current revenue with the oldest cost is

- A. LIFO
- B. Specific identification Method
- C. FIFO
- D. Weighted average

Answer: C

13. Depreciation methods that yield the highest depreciation expense during the First year of an asset's life is

- A. Straight line method
- B. Activity method
- C. Unit of production method
- D. Double-declining balance

Answer: D

14. The inventory method that will always produce the same amount for cost of goods sold in a periodic inventory system as in a perpetual inventory system would be?

- A. LIFO Method
- B. Weighted Average Method

C. Specific identification Method

D. FIFO Method

Answer: D

15. _____ is to provide financial information about the reporting entity that is useful to present and potential equity investors, lenders, and other creditors in making decisions about providing resources to the entity.
- A. Objective of financial reporting
 - B. Elements of financial statements
 - C. Qualitative characteristics of financial information
 - D. Revenue recognition

Answer: A

16. Which of the following does not set accounting standards but supports the use of IFRS as the single set of international standards in cross-border offerings and listings.
- A. International Accounting Standards Board (IASB).
 - B. International Organization of Securities Commissions (IOSCO)
 - C. IFRS Foundation
 - D. IFRS Advisory Council

Answer: B

17. Checks drawn in excess of the amount in the checking account with the permission of the bank are known as:
- A. Money orders
 - B. Certified checks
 - C. Cashier's checks
 - D. Bank overdrafts

Answer: D

18. Raebow Limited expected the following future cash flow from the use of Property at end of its 3 year useful life \$1500. The discount rate was determined as 10%. The Value in use of this asset is:
- A. \$927.97
 - B. \$1,100.97
 - C. \$1,177.97
 - D. \$1,26.97

Answer: D

19. When is an asset impaired?
- A. If the value in use exceeds fair value less costs to sell
 - B. If the carrying amount exceeds the recoverable amount
 - C. If the carrying amount exceeds the value in use
 - D. If the fair value less costs to sell exceeds the carrying amount

Answer: B

20. Tyson Chandler Company purchased equipment for \$10,000. Sales tax on the purchase was \$500. Other costs incurred were freight charges of \$200, repairs of \$350 for damage during installation, and installation costs of \$225. What is the cost of the equipment?
- A. \$10,000
 - B. \$10,500
 - C. \$10,925
 - D. \$11,275

Answer: C

21. Equipment that cost \$66,000 and has accumulated depreciation of \$30,000 is exchanged for equipment with a fair value of \$48,000 and \$12,000 cash is received. The exchange has commercial substance. The gain to be recognized from the exchange is?
- A. \$4,800 gain
 - B. \$6,000 gain
 - C. \$18,000 gain
 - D. \$24,000 gain

Answer: D

22. Use of the double-declining balance method is not
- Results in a decreasing charge to depreciation expense
 - Means salvage value is not deducted in computing the depreciation base
 - Means the book value should not be reduced below salvage value
 - Means the acquisition cost of the asset is not used
- Answer: D**
23. Starr Company purchased a depreciable asset for \$150,000. The estimated salvage value is \$10,000, and the estimated useful life is 8 years. The double-declining balance method will be used for depreciation. What is the depreciation expense for the second year on this asset?
- \$17,500
 - \$26,250
 - \$28,125
 - \$37,500
- Answer: C**
24. Costs incurred internally to create intangibles are
- Capitalized except research cost
 - Capitalized if they have an indefinite life
 - Expensed as incurred
 - Expensed only if they have a limited life
- Answer: A**
25. Which of the following does not describe intangible assets?
- They lack physical existence
 - They are monetary assets
 - They provide long-term benefits
 - They are classified as long-term assets
- Answer: B**
26. ELO Corporation purchased a patent for \$135,000 on September 1, 2013. It had a useful life of 10 years. On January 1, 2015, ELO spent \$33,000 to successfully defend the patent in a lawsuit. ELO feels that as of that date, the remaining useful life is 5 years. What amount should be reported for patent amortization expense for 2015?
- \$30,900
 - \$30,000
 - \$28,200
 - \$23,400
- Answer: C**
27. A company changes from percentage-of-completion to completed-contract, which is the method used for tax purposes. The entry to record this change should include a
- Debit to Construction in Process
 - Debit to Loss on Long-term Contracts in the amount of the difference on prior years, net of tax
 - Debit to Retained Earnings in the amount of the difference on prior years, net of tax
 - Credit to Deferred Tax Liability
- Answer: C**
28. Which of the following is (are) the proper time period(s) to record the effects of a change in accounting estimate?
- Current period and prospectively
 - Current period and retrospectively
 - Retrospectively only
 - Current period only
- Answer: A**
29. The estimated life of a building that has been depreciated 30 years of an originally estimated life of 50 years has been revised to a remaining life of 10 years. Based on this information, the accountant should
- Continue to depreciate the building over the original 50-year life
 - Depreciate the remaining book value over the remaining life of the asset
 - Adjust accumulated depreciation to its appropriate balance, through net income, based on a 40-year life, and then depreciate the adjusted book value as though the estimated life had always been 40 years.

D. Adjust accumulated depreciation to its appropriate balance through retained earnings, based on a 40-year life, and then depreciate the adjusted book value.

Answer: B

30. ABC Limited has an asset with a carrying value of \$150,000. The tax base of this asset is \$140,000 and tax rate is 30%. As a result, which of the following deferred tax items does Roland Limited have?

A. A deferred tax asset of \$10,000
B. A deferred tax liability of \$10,000
C. A deferred tax liability of \$3,000
D. A deferred tax asset of \$3,000

Answer: C

31. A deductible temporary difference is expected to lead to the payment of:

A. Less tax in the future and gives rise to a deferred tax liability
B. Less tax in the future and gives rise to a deferred asset
C. More tax in the future and gives rise to a deferred tax liability
D. More tax in the future and gives rise to a deferred tax asset

Answer: B

32. CTT Limited has an asset which cost \$300 and against which \$100 of depreciation has accumulated. The accumulated depreciation for tax purposes is \$180 and the company tax rate is 30%. The tax base of this asset is:

A. \$80
B. \$120
C. \$20
D. \$220

Answer: B

33. How should the balances of progress billings and construction in process be shown at reporting dates prior to the completion of a long-term contract?

A. Progress billings as deferred income, construction in progress as a deferred expense
B. Progress billings as income, construction in process as inventory
C. Net, as a current asset if debit balance, and current liability if credit balance
D. Net, as income from construction if credit balance, and loss from construction if debit balance

Answer: C

34. IAS 41 is applicable to

A. Land related to agricultural activity
B. Intangible assets related to agricultural activity
C. Agricultural produce at the point of harvest
D. Bearer plants related to agricultural activity

Answer: C

35. Which of the following is a biological asset?

A. Carcass
B. Milk
C. Sugar
D. Oil palms

Answer: D

36. Which of the following is an agricultural produce?

A. Tobacco plants
B. Sheep
C. Tea
D. Wool

Answer: D

37. This is the detachment of produce from a biological asset.

A. Agricultural produce
B. Harvest
C. Cessation
D. Bearing

Answer: B

38. Cash deposit with the bank with a maturity date after two months belongs to which of the following in the cash flow statement?

A. Financing Activities.
B. Cash and Cash Equivalent.
C. Operating Activities.
D. Investing Activities.

Answer: B

39. Selling of land paid by a company is classified under which kind of activity while preparing cash flow statements?

- A. Cash Flow from Investing Activities.
- B. Cash Flow from Financing Activities.
- C. No Cash Flow.
- D. Cash Flow from Operating Activities

Answer: A

40. Financing activities bring changes in _____.

- A. Size and composition in owners' equities.
- B. Borrowings of the enterprise.
- C. Size and composition of owners' equities and borrowings of the enterprise.
- D. Firm's liability

Answer: C

41. According to Accounting standard 3 cash flows are classified into _____.

- A. Operating Activities and Investing Activities.
- B. Investing Activities and Financing Activities.
- C. Operating Activities and Financing Activities.
- D. Financing Activities, Operating Activities, and Investing Activities.

Answer: D

42. _____ is the main reason why the intrinsic value of a share is lesser than its market value.

- A. The market is undervaluing the share
- B. The market is overvaluing the share
- C. The share has a low level of risk
- D. The share offers a high dividend payout ratio

Answer: B

43. _____ is the main reason why the intrinsic value of a share is lesser than its market value.

- A. The market is undervaluing the share
- B. The market is overvaluing the share
- C. The share has a low level of risk
- D. The share offers a high dividend payout ratio

Answer: B

44. The market-based methods for the valuation of a share should not be adopted if _____.

- A. The assets of a business are lesser than its liabilities
- B. The company is too small
- C. It becomes difficult to estimate the realizable value of a going concern
- D. There are massive fluctuations in its market price

Answer: D

45. All the following are the distinct characteristics of joint venture, except;

- A. Limited to carry out a single project
- B. No net income is recognized until the venture completed
- C. The person who is partner in joint venture is called investor
- D. The business it has short duration of time

Answer: C

46. A business combination in which a new corporation is formed to take over the assets and operations of two or more separate business entities, with the previously separate entities being dissolved, is a/an:

- A. Consolidation
- B. Merger
- C. Pooling of interests
- D. Acquisition

Answer: A

47. Which of the following does not represent a primary motivation for business combinations?

- A. Combinations as a vehicle for achieving rapid growth and competitiveness.
- B. Cost savings through elimination of duplicate facilities and staff.
- C. Quick entry for new and existing products into markets.
- D. Larger firms being less likely to fail.

Answer: D

48. Which of the following sets of accounts must always be kept in agreement but opposite in direction?

- A. Investment in home office and home office in branch.
- B. Shipments to branch and shipments from home office
- C. Branch income and equity in branch income
- D. Investment in branch and home office in branch.

Answer: A

49. According to the acquisition method of accounting for business combinations, costs paid to attorneys and accountants for services in arranging a merger should be

- A. Capitalized as part of the overall fair value acquired in the merger.
- B. Recorded as an expense in the period the merger takes place.
- C. Included in recognized goodwill.
- D. Written off over a five-year maximum useful life.

Answer: B

50. If the home office of ABC Co. maintains the accounting records of the plant assets of its branch and that branch acquired equipment for \$5,000 cash, the appropriate journal entry for the branch is:

- A. Debit the Home Office ledger account and credit a plant asset account for \$5,000
- B. Debit the Home Office account and credit Cash for \$5,000
- C. Debit a plant asset account and credit the Home Office account for \$5,000
- D. Debit Cash and credit the Home Office account for \$5,000

Answer: C

51. **MOHA** soft drink industry purchased a 30% interest in **BURE** mineral water Company on January 1, 2014, and **MOHA** soft drink industry accounted for its investment in **BURE** mineral water Company under the equity method for the next 3 years. On January 1, 2017, **MOHA** sold one-half of its interest in **BURE** after which it could no longer exercise significant influence over **BURE**. **MOHA** should:

- A. Continue to account for its remaining investment in **BURE** under the equity method for the sake of consistency.
- B. Adjust the investment in **BURE** account to one-half of its original amount and account for the remaining 15% interest using the equity method.
- C. Account for the remaining investment under the cost method, using the investment in **BURE** account balance immediately after the sale as the new cost basis.
- D. Adjust the investment account to one-half of its original amount (one-half of the purchase price in 2014), and account for the remaining 15% investment under the cost method.

Answer: D

52. A costing system applied based on consumers' requirements and specifications is

- A. Job costing
- B. ABC costing

- C. Process costing
- D. Operation costing

Answer: A

53. The value of benefit sacrificed in favor of an alternative course of action.

- A. Marginal Cost
- B. Opportunity Cost
- C. Differential Costs
- D. Replacement Cost

Answer: B

54. Which one is an industry where job costing is common?

- A. Chemical
- B. Bottling
- C. Construction
- D. Food

Answer: C

55. One of the followings is an example of prime cost.

- A. Direct expense
- B. Administrative OH
- C. Selling OH
- D. Distribution OH

Answer: A

56. The relevant range is:

- A. The range of activity in which variable costs will be curvilinear.
- B. The range of activity in which fixed costs will be curvilinear.
- C. The range over which the company expects to operate during a year.
- D. Usually from zero to 100% of operating capacity.

Answer: C

57. A production manager in a manufacturing company would most likely receive a:

- A. Sales report
- B. Income statement
- C. Scrap report.
- D. Shipping department overhead report.

Answer: C

58. In order to decide outsourcing,

- A. The company's variable costs should be greater than the in-sourcing cost.
- B. The manager should look in to variable costs that can be avoidable.
- C. The incremental costs of making should exceed the incremental costs of outsourcing.
- D. The manager need not look in to the manufacturing capacity.

Answer: D

59. A provision in the corporate charter or bylaws that gives common stockholders the right to purchase on a pro rata basis new issues of common stock or convertible securities is;

- A. Preference share holder's right.
- B. Common stock holder's right.
- C. The Preemptive Right.
- D. Articles of incorporation.

Answer: C

60. The length of time required for an investment's cash flows, discounted at the investment's cost of capital to cover its initial investment cost;

- A. Discounted Payback
- B. Payback period
- C. Net present value
- D. Discounted NPV

Answer: A

61. _____ is the risk that an investment may not be able to sustain its purchasing power.

- A. Liquidity risk
- B. Re-investment risk
- C. Inflation risk
- D. Diversifiable risk

Answer: C

62. _____ is a metric that shows the extent to which a given stock's returns move up and down with the stock market.

- A. Standard deviation
- B. Beta-coefficient
- C. Capital asset pricing model
- D. Security market line

Answer: B

63. Which one of the following definitions about Finance is incorrect?

- A. Finance is the art and science of managing money.
- B. Finance is the provision of money at the time when it is needed.
- C. Finance focus on how to run the firm so as to maximize firm value.
- D. Finance is a scarce resource which is not available freely

Answer: C

64. Which one of the following is demerit of corporate form of business?

- A. Corporation is a legal entity created by a state.
- B. Corporation is separate and distinct from its owners and managers.
- C. Corporations have unlimited lives and it is easier to transfer shares of stock.
- D. Dividends and personal income to the stockholders is taxable.

Answer: D

65. According to Modigliani and Miller (MM) Proposition I (without taxes), what does the capital structure of a firm determine?

- A. The firm's value
- B. The firm's weighted average cost of capital (WACC)
- C. The firm's operating income
- D. The firm's equity risk premium

Answer: A

66. Which of the following is a primary objective of capital structure decisions?

- A. Maximizing shareholder wealth
- B. Minimizing operational risks
- C. Ensuring short-term liquidity
- D. Reducing taxation

Answer: A

67. Which of the following assumptions is not a part of the Modigliani and Miller (MM) framework in a perfect market?

- A. No transaction costs or taxes.
- B. Investors and firms can borrow at the same risk-free rate.
- C. Equity holders face no bankruptcy costs.
- D. Firms have constant capital expenditure requirements.

Answer: A

68. The optimal capital structure minimizes the company's:

- A. Operational costs
- B. Weighted Average Cost of Capital (WACC)
- C. Market value of debt
- D. Total assets

Answer: B

69. A higher proportion of debt in the capital structure is likely to:

- A. Decrease the financial risk of the company
- B. increase the company's tax liability
- C. Improve earnings per share during economic upturns
- D. Brings no effect on company

Answer: C

70. Under MM Proposition II (with taxes), which of the following explains why firms may benefit from taking on more debt?
- A. Higher debt reduces the cost of equity.
 - B. Debt interest is tax-deductible, reducing overall tax liability.
 - C. Debt financing eliminates bankruptcy risk.
 - D. Increasing debt decreases the firm's operating risk

Answer: B

71. In financial forecasting, a percent-of-sales method is commonly used. This method assumes which of the following?
- A. All expenses vary directly with sales.
 - B. Fixed costs increase proportionally with sales.
 - C. Both assets and liabilities remain constant regardless of sales changes.
 - D. Net income fluctuates independently of sales levels.

Answer: A

72. A company is creating a pro forma income statement for the next year. Which of the following elements is least likely to be based on historical data?
- A. Revenue growth rates
 - B. Future tax rates
 - C. Cost of goods sold percentage
 - D. Administrative expenses

Answer: B

73. Which of the following is NOT a factor influencing a company's dividend policy?
- A. Stability of earnings
 - B. Shareholders' tax preferences
 - C. Capital market conditions
 - D. Inventory turnover ratio

Answer: D

74. What is the key principle of the residual dividend policy?
- A. Dividends are paid only when profits exceed historical averages.
 - B. Dividends are paid only after meeting all capital expenditure needs and maintaining the target capital structure.
 - C. Dividends are paid as a fixed percentage of profits, irrespective of investment opportunities.
 - D. Dividends are paid to match competitors in the same industry.

Answer: B

75. Which of the following dividend theories suggests that dividend policy is irrelevant to the value of the firm in a perfect capital market?
- A. Bird-in-the-hand theory
 - B. Modigliani-Miller theory
 - C. Tax preference theory
 - D. Signaling theory

Answer: B

76. A firm adopts a policy of offering credit terms of 2/10, net 30. This decision is related to:
- A. Cash management
 - B. Accounts receivable management
 - C. Inventory management
 - D. Short-term financing

Answer: B

77. A company maintains a cash buffer to avoid liquidity problems. This practice primarily addresses which aspect of current asset management?
- A. Minimizing accounts payable
 - B. Enhancing inventory turnover
 - C. Ensuring adequate working capital
 - D. Optimizing short-term investments

Answer: C

Use the short case to answer the questions below:

XYZ Corp. is a medium-sized manufacturing company with seasonal sales. During peak seasons, the company's working capital requirement increases significantly due to higher inventory and accounts receivable. To finance its current assets, XYZ Corp. is considering three options:

- Using short-term financing, like a line of credit.
- Utilizing long-term financing.
- Adopting a hybrid approach by combining both short-term and long-term financing.

78. Based on the following case, answer the questions below:

Which financing strategy would **minimize financing costs** for XYZ Corp. during its peak seasons?

- A. Short-term financing
- B. Long-term financing
- C. Hybrid approach
- D. Equity financing

Answer: A

79. Financial markets have the basic function of:

- A. Bringing together people with funds to lend and people who want to borrow funds.
- B. Assuring that the swings in the business cycle are less pronounced.
- C. Assuring that governments need never resort to printing money.
- D. Brokers

Answer: A

80. A corporation acquires new funds only when its securities are sold in the

- A. Secondary market by an investment bank.
- B. Primary market by an investment bank.
- C. Secondary market by a stock exchange broker.
- D. Secondary market by a commercial bank.

Answer: B

81. An important financial institution that assists in the initial sale of securities in the primary market is the

- A. Investment bank.
- B. Commercial bank.
- C. Stock exchange.
- D. Brokerage house.

Answer: A

82. The main sources of financing for businesses, in order of importance, are

- A. Financial intermediaries, issuing bonds, issuing stocks.
- B. Issuing bonds, issuing stocks, financial intermediaries.
- C. Issuing stocks, issuing bonds, financial intermediaries.
- D. Issuing stocks, financial intermediaries, issuing bonds.

Answer: A

83. Long-term debt and equity instruments are traded in the _____ market.

- A. Primary
- B. Secondary
- C. Capital
- D. Money

Answer: C

84. The price paid for the rental of borrowed funds (usually expressed as a percentage of the rental of \$100 per year) is commonly referred to as the

- A. Inflation rate.
- B. Exchange rate.
- C. Interest rate.
- D. Aggregate price level.

Answer: C

85. Which of the following is not a cause for a modification of the format for a standard unqualified auditor's report?

- A. Substantial doubt about an entity's ability to continue as a going concern.
- B. Reports involving other auditors.
- C. A departure from promulgated accounting principles.
- D. Not consistently applying accounting principles.

Answer: C

86. The scope paragraph of the standard unqualified audit report states that the audit is **designed to:**

- A. Discover all errors and/or irregularities.
- B. Discover material errors and/or irregularities.
- C. Conform to generally accepted accounting principles.
- D. Obtain reasonable assurance whether the statements are free of material misstatement.

Answer: D

87. Which of the following attributes is likely to be unique to the audit work of CPAs as compared to the work performed by practitioners of other professions?

- A. Due professional care.
- B. Competence.
- C. Independence.
- D. Complex body of knowledge

Answer: C

88. The opinion paragraph of a CPA's report states: "In our opinion, except for the effects of not capitalizing certain lease obligations, as discussed in the preceding paragraph, the financial statements present fairly," in all material respects, . . . This paragraph expresses a(an)

- A. Unqualified opinion.
- B. Unqualified opinion with explanatory paragraph.
- C. Qualified opinion.
- D. Adverse opinion.

Answer: C

89. Which one of the following is the most worst audit opinion

- A. Unqualified
- B. Qualified
- C. Adverse or negative
- D. Disclaimer

Answer: D

90. A type of audit opinion issued on the financial statement presented according to the guidelines set is:-

- A. Unqualified or clean opinion
- B. Qualified
- C. Adverse or negative
- D. Disclaimer

Answer: A

91. Which of the following is not the economic role of the government?

- A. Increase employment
- B. Fiscal policy to curb or prevent undesirable wants
- C. Balanced regional development
- D. Reduction in economic inequalities.

Answer: D.

92. Which one of the following is the most important source of revenue to the states?

- A. Gants
- B. Taxes
- C. Donations
- D. Loan

Answer: B

93. Every tax ought to be levied at the time or in the manner in which it is most likely to be convenient for the contributor to pay it.

- A. Canon of equity
- B. Canon of canon of convenience
- C. Canon of certainty
- D. Canon of economy

Answer: B

94. The following is not a characteristic of a tax

- A. It is a compulsory payment
- B. Every tax involves a sacrifice by tax payer
- C. There is a quid-pro-quo between the tax payer and the Government.
- D. Refusal to pay tax is a punishable offence.

Answer: C

95. The tax rate increases as the tax base income increase under

- A. Regressive tax system
- B. Proportional tax system
- C. Progressive tax system
- D. Digressive tax system

Answer: C

96. Which of the following concepts is the cornerstone of governmental financial reporting?

- A. Relevance
- B. Inter-period equity
- C. Accountability
- D. Liquidity

Answer: C

97. Which of the following is not an activity category in which general purpose governments typically engage?

- A. Fiduciary
- B. Contractual
- C. Business-type
- D. Governmental

Answer: B

98. The basis of accounting under which revenues are recognized when measurable and available is the:

- A. Modified accrual basis of accounting
- B. Cash basis of accounting
- C. Accrual basis of accounting
- D. Modified cash basis of accounting

Answer: C

99. The initial transfer of cash from the General Fund in order to establish an Internal Service Fund would be recorded in the general fund as credit to Cash and debit to;

- A. Due from Internal Service Fund
- B. Equity transfer out
- C. Operating transfer out
- D. Equity transfer in

Answer: B

100. The reserve for encumbrance account of a governmental unit is decreased when;

- A. The vouchers are paid
- B. A purchase order is approved
- C. Ordered supplies are received
- D. Appropriations are recorded

Answer: C

The End!